Arabian Cement Company S.A.E.

Egyptian Exchange · ARCC · Egyptian pounds · 6 August 2026

Egypt's second-largest cement plant, at the top of the best year the industry has had in more than a decade, holding net cash worth 11% of its market value on the last reported balance sheet — and facing 12.6 million tonnes of dormant national capacity queuing to restart inside the forecast window.

What this is. An independent valuation of Arabian Cement Company, an educational analysis and not investment advice. It carries no rating and no price target — fair-value ranges and distributions only.

The company in one line. Two production lines in Suez governorate, about 5.0 million tonnes of cement a year and roughly 7% of Egypt's nominal capacity, listed on the Egyptian Exchange since May 2014, with cash of EGP 3,459mn against debt of EGP 1,035mn.

Where the value lands. Four lenses put the shares between EGP 49.29 and EGP 73.68, weighting to a central EGP 52.94 against a market price of EGP 59.00 — -10.3%.

Summary valuation table

Lens	Value per share (EGP)	Weight	Versus spot	Terminal value % of EV
DCF (cash flow)	49.29	50%	-16.5%	49.2%
Relative multiples	53.21	20%	-9.8%	—
Normalised earnings	53.47	22%	-9.4%	—
Asset / replacement cost	73.68	8%	+24.9%	—
Weighted central fair value	**52.94**	**100%**	**-10.3%**	**—**
Range across the four lenses	49.29 – 73.68	—	-16.5% to +24.9%	—
Market price, 6 August 2026	59.00	—	—	—

Terminal value as a percentage of enterprise value is shown beside the cash-flow lens, and again in the enterprise-to-equity bridge in section 1.7.

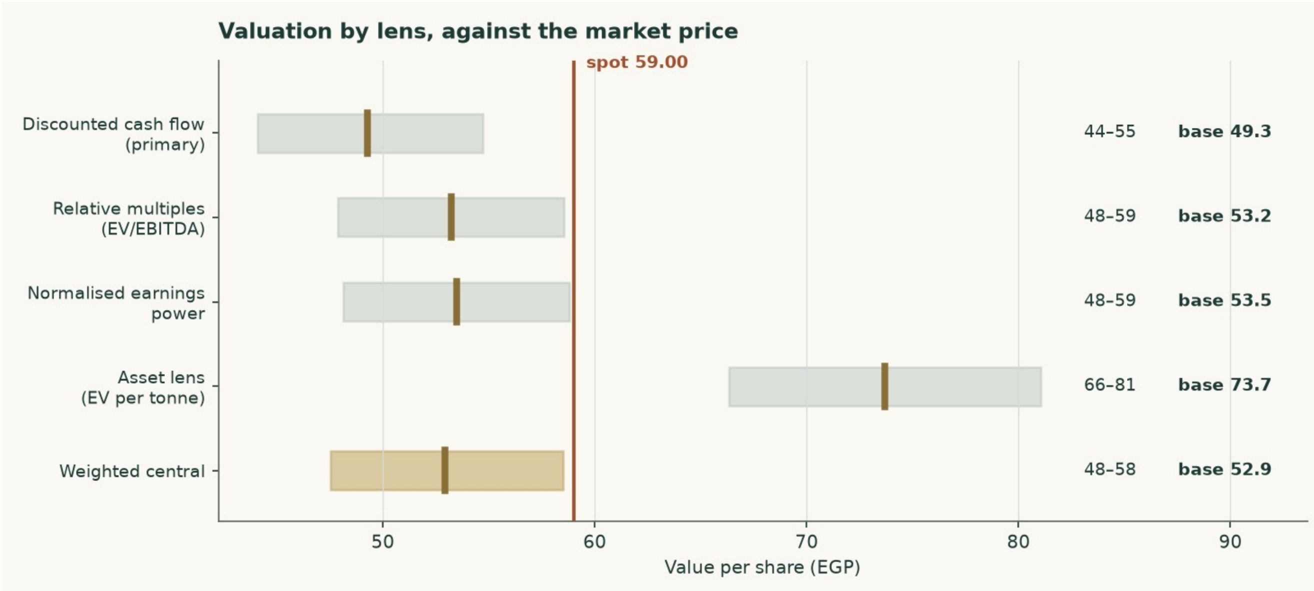

Figure 1 — Each lens as a range, with its base case marked, against the market price.

1 Fundamental valuation

Arabian Cement is valued as a single operating company, not as a sum of parts, and the reason is worth stating before any number appears. Essentially all of its revenue is grey cement and clinker from one industrial site. There is no property portfolio, no lending book, no concession and no collection of consolidated operating subsidiaries that would need valuing on their own terms. A sum-of-the-parts here would be a sum of one part, and the discipline it is meant to impose — never blending legs that need different methods — has nothing to bite on.

Four lenses are used. A discounted cash-flow model built up from tonnes and costs carries half the weight. Relative multiples, normalised earnings power and replacement cost carry the rest, and each is reported with the reason its weight is what it is.

1.1 The business, and why the lens follows from it

The plant runs two lines in Suez governorate producing on average about 5.0 million tonnes of clinker and cement a year. That is roughly 7% of Egypt's nominal capacity and makes it the second-largest cement plant in the country. The balance sheet is what that description implies: property-dominated, with working capital in inventory and receivables, no investment property, no equity-accounted portfolio of any size, and no financing arm.

The FY2025 accounts show revenue of EGP 12,447mn and attributable profit of EGP 3,599mn, against EGP 8,729mn and EGP 1,160mn a year earlier — revenue up 42.6% and profit up 210%. That is not a business changing shape. It is a price event, and the whole of this valuation turns on how much of it lasts.

	FY2023	FY2024	FY2025
Revenue (EGP mn)	6,040	8,729	12,447
EBITDA (EGP mn)	1,264	1,930	4,897
EBITDA margin	20.9%	22.1%	39.3%
Attributable profit (EGP mn)	697	1,160	3,599
Despatched volume (Mt)	3.300	3.420	3.600
Realised price (EGP/t)	1,830	2,552	3,458
Kiln utilisation	66.0%	68.4%	72.0%

Table 1 — Three years of history. Revenue and attributable profit are as disclosed. EBITDA and the operating lines are derived by closing the disclosed profit; volume and realised price are the output of the unit build in section 1.2.

Two things stand out. Volume grew only 5.3% between FY2024 and FY2025 while realised price grew 35.5%. The abolition of Egypt's cement production quota in May 2025 worked overwhelmingly through price, not through tonnes. And the margin moved from 22.1% to 39.3% in a single year, because almost the entire price increase fell to the bottom line on a cost base that is largely fixed.

1.2 The unit economics — where EBITDA actually comes from

EBITDA in this model is an output, not an assumption. It is built from physical quantities: kiln capacity times a utilisation rate gives clinker; clinker divided by the clinker factor gives cement; cement split between domestic and export at their own prices gives revenue; and a per-tonne cost stack — fuel, power, raw materials, packaging, distribution — plus a fixed block gives cost. What is left is EBITDA. If the cost stack is wrong, the FY2025 reconstruction misses the disclosed operating profit, and that residual is published rather than solved away.

	FY2025A	FY2026E	FY2030E
Cement produced (Mt)	3.600	3.840	4.110
Kiln utilisation	72.0%	76.8%	82.2%
Blended realised price (EGP/t)	3,458	3,532	4,152
Thermal fuel (EGP/t)	335	335	379
Electrical power (EGP/t)	260	290	401
Raw materials (EGP/t)	195	217	301
Packaging (EGP/t)	38	43	59
Distribution (EGP/t)	190	212	293
Total variable (EGP/t)	1,018	1,098	1,434
Fixed cash cost (EGP/t)	1,079	1,128	1,459
EBITDA (EGP mn)	**4,898**	**5,018**	**5,174**
EBITDA margin	**39.3%**	**37.0%**	**30.3%**

Table 2 — The cost stack per tonne of cement, and the margin it produces.

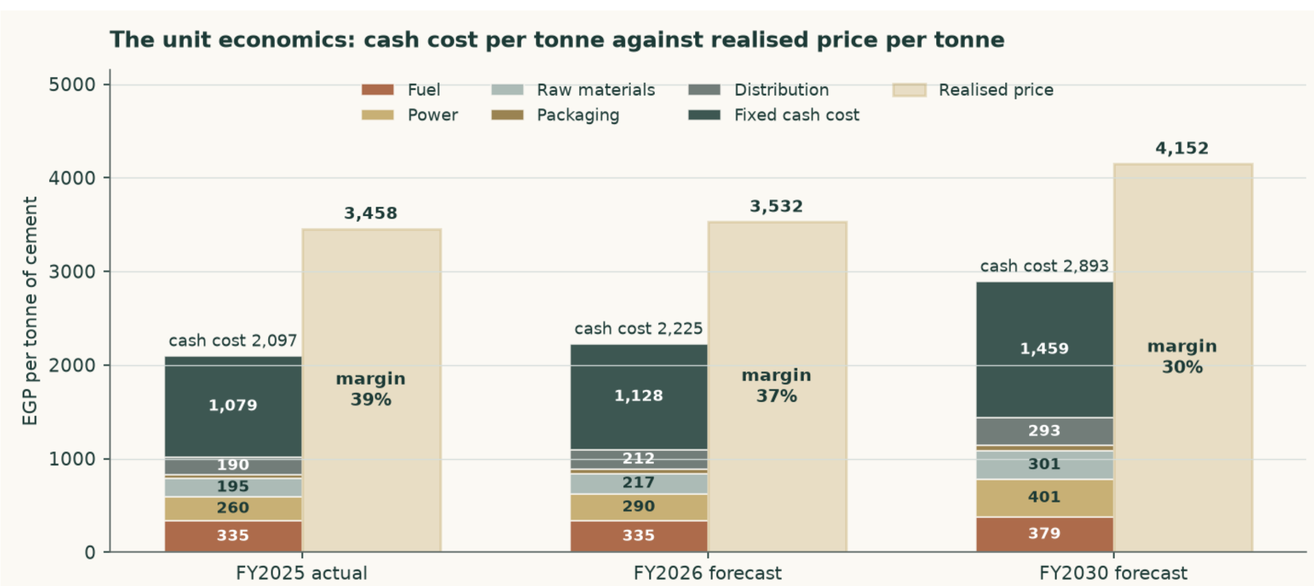

Figure 2 — Cash cost per tonne against realised price per tonne. The margin is the gap, and the gap narrows across the forecast.

The reconstruction reproduces the disclosed FY2025 revenue to +0.002% and the DISCLOSED FY2025 operating income to +0.018%. Neither residual is forced: the physical coefficients are industry norms and the price path is the published domestic level. The one calibrated figure is the fixed cash block, at USD 15.76 per tonne of installed capacity, inside the USD 10–20 industry band, and it is labelled as a calibration rather than presented as an observation.

The company-specific line is fuel. Arabian Cement is Egypt's alternative-fuel leader: 52% of its thermal requirement is met from refuse-derived fuel and biomass rather than imported petcoke, rising to 64% by FY2030 on the company's own programme. That blend is why the fuel bill per tonne is EGP 335 rather than the EGP 469 a fossil-only stack would cost — a saving of about 28.6% on the largest variable line in the business. It is modelled as its own driver, not folded into a margin, because it is the one cost advantage that is genuinely this company's rather than the sector's.

1.3 Depreciation, and the honest admission behind it

No depreciation line is separately retrievable for this company from any source at the evidentiary standard used elsewhere in this study. Rather than assume one, three independent methods are computed and averaged, and the spread between them is published.

Method	FY2025 charge (EGP mn)
Fourth-quarter EBITDA margin applied to full-year revenue, less the disclosed operating profit	160
Peer depreciation per tonne of despatch, applied to this volume	558
Net property base implied by total assets, times a composite rate	185
Average of the three — adopted	**301**
As a share of revenue	2.42%
Per tonne of despatch (EGP)	84

Table 3 — Three routes to the same number, averaged rather than asserted. The highest is 3.5 times the lowest, and that uncertainty is real.

The spread matters, and it is worth saying why it is so wide. This plant was built around 2010, in a currency that has since devalued several times. Its book asset base is therefore small in today's pounds and its accounting depreciation charge is correspondingly small — which is exactly what the first and third methods find, and exactly what a peer benchmark drawn from a revalued balance sheet does not.

This has a direct valuation consequence, and it is treated as one. Capital expenditure in the forecast is NOT set at book depreciation. It is set at the economic maintenance level of USD 4.00 per tonne of installed capacity — about EGP 1,012mn in FY2026 against a book charge of EGP 339mn. Setting capex equal to book depreciation would have flattered free cash flow by construction; the cost of refusing to do so is computed in section 1.9 and is worth +10.1% of the cash-flow lens.

1.4 The cost of capital

The discount rate is a schedule, not a number. Egypt is in monetary transition: the central bank held its main operation rate at 19.50% through the first half of 2026 while headline inflation eased to 14.3%, and its own published medium-term target is 7%. A single flat rate applied to both the explicit years and a perpetuity would assert that Egypt's cost of capital never normalises — a claim this model's own cost-of-debt path contradicts.

	Explicit window	Terminal
Risk-free rate	22.31%	12.50%
Less sovereign default spread	(3.40%)	—
Normalised risk-free rate	18.91%	12.50%
Beta	0.628	0.750
Equity risk premium	9.41%	7.00%
Cost of equity	24.82%	17.75%
Cost of debt after tax	16.66%	11.62%
Debt weight	4.47%	20.0%
Blended cost of capital	**24.46%**	**16.52%**

Table 4 — The two anchors. The sovereign default spread is netted OUT of the local risk-free rate before a country equity premium is added, so Egypt's default risk is charged once rather than twice; leaving it in would have put the cost of equity at 28.22% instead of 24.82%.

The terminal anchors are house macro views, and are disclosed as such rather than presented as observations. The terminal risk-free rate is the central bank's own stated medium-term inflation target plus a standard emerging-market real-rate convention. The terminal cost of debt is the Egyptian long-run corporate borrowing norm. Neither is reverse-engineered from a price, and no terminal input is backed out of a target.

Year	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Glide fraction	0.000	0.385	0.692	0.877	1.000
Forward cost of capital	24.46%	21.40%	18.96%	17.50%	16.52%
Cumulative discount factor	0.9554	0.8182	0.6726	0.5644	0.4799

Table 5 — The schedule. The glide fractions are not chosen: they are the cumulative progress of the cost-of-debt path, so the shape of the discount schedule is inherited from the assumed easing calendar rather than invented beside it. The terminal value is capitalised at the terminal rate and brought home on year five's own cumulative factor — one date, one price of time.

1.5 Beta, and how weak it is

The beta is a genuine regression, not a default. Weekly returns over five years against an equal-weight index of the 34 other Egyptian names in the library, with the subject excluded from its own index, give a beta of 0.628 on 257 observations, an R-squared of 9.1% and a standard error of 0.125. The 90% confidence interval is [0.42, 0.83].

That clears the usability threshold, and it is also STATISTICALLY WEAK — on one of the two tests rather than both, which is worth being precise about. The R-squared of 9.1% sits below the 10% mark, which triggers the flag. The confidence interval spans 0.65 times the point estimate, which does NOT: that test fires at two times and this is well inside it. The estimate is therefore never restated later as though it were precise, and the valuation is shown across a beta range rather than at a point.

Two cross-checks are run rather than asserted. The share closes unchanged on 12.2% of sessions against an Egyptian library median of 9.0%, and non-synchronous trading biases a contemporaneous beta downward; the lead-lag sum-beta that corrects for it is 0.919, an uplift of 0.291 with a standard error of 0.243 — i.e. an uplift not statistically distinguishable from zero. And a simple prior would put a cyclical, capital-intensive materials business at 1.0 to 1.5, which is above where this regression lands. There is a real reason for that: the company carries no net financial leverage, and unlevered equity genuinely moves less than levered equity. The regression is adopted, the correction is published as a value, and the difference is worth -9.5% of the cash-flow lens.

Beta	0.60	0.80	1.00	1.15	1.30
Fair value per share (EGP)	49.82	46.34	43.50	41.68	40.08

Table 6 — Fair value across the fixed comparability anchors, which span the regression's own confidence interval.

1.6 The cash-flow waterfall

EGP mn	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	13,564	14,585	15,481	16,322	17,066
EBITDA	5,018	5,155	5,186	5,202	5,174
EBITDA margin	37.0%	35.3%	33.5%	31.9%	30.3%
Depreciation and amortisation	339	408	480	555	614
EBIT	4,679	4,747	4,706	4,647	4,560
Tax rate (effective, 29.4%)	29.4%	29.4%	29.4%	29.4%	29.4%
NOPAT (EBIT × (1 − t))	3,302	3,350	3,321	3,280	3,218
Plus depreciation	339	408	480	555	614
Less capital expenditure	(1,012)	(1,062)	(1,116)	(1,172)	(1,230)
Less change in working capital	(134)	(123)	(108)	(101)	(89)
Free cash flow to the firm	**1,041**	**2,574**	**2,577**	**2,562**	**2,513**
Discount factor	0.9554	0.8182	0.6726	0.5644	0.4799
Present value of FCFF	**994**	**2,106**	**1,734**	**1,446**	**1,206**

Table 7 — The full build from revenue to present value. FY2026 carries only the five months not yet earned at the valuation date; the seven already earned are rolled into the opening cash balance instead, so the period is counted exactly once rather than twice or not at all.

The effective tax rate of 29.4% is above the statutory 22.5%, and it is not chosen. It is what the disclosed accounts imply: operating income of EGP 4,596mn plus net finance income of EGP 504mn against a disclosed profit after tax of EGP 3,599mn leaves that rate and no other. Using the statutory rate instead would have raised every forecast year's after-tax profit by about 9.8% on evidence that points the other way.

One reconciliation belongs here rather than in a footnote, because it is the largest single judgement in the model. First-quarter 2026 attributable profit was EGP 943mn on revenue of EGP 2,995mn — a net margin of 31.5%. Four times that quarter is EGP 3,772mn, and holding its margin across the full year would give about EGP 4,271mn. This model forecasts EGP 3,597mn — -4.6% against the simple annualisation and well below the margin-held figure. The forecast is deliberately the conservative one: the first quarter of 2026 still carries the post-quota price spike at close to its peak, and the model assumes it fades as restart capacity arrives and pound cost inflation runs ahead of price. A reader who thinks the current margin holds should read the +2% and +4% columns of the margin sensitivity in section 7, which are worth EGP 53.80 and EGP 58.31 a share against the base EGP 49.29.

1.7 The enterprise-to-equity bridge

	EGP mn	Per share (EGP)
Present value of explicit free cash flow	7,485	19.97
Present value of terminal value	7,262	19.37
Enterprise value	**14,748**	**39.34**

Plus net cash at the valuation date	3,879	10.35
Less non-controlling interests	-150	-0.40
Equity value	**18,477**	**49.29**
Terminal value as % of enterprise value	**49.2%**	**—**
Market price, 6 August 2026	—	59.00
Upside / (downside) to this lens	—	-16.5%

Table 8 — The bridge. Terminal value as a share of enterprise value is stated here and again in the summary table on page 1.

Cash is added at face and is not in the discount rate. The company held EGP 3,459mn of cash against EGP 1,035mn of debt on the latest reported balance sheet; rolling that forward on the elapsed part of FY2026 puts net cash at EGP 3,879mn at the valuation date, or EGP 10.35 a share — about 17.5% of the market capitalisation. Minority interests are deducted rather than ignored, at a deliberately non-trivial EGP 150mn; no minority balance is separately retrievable, and the disclosed profit statements imply a small one.

At 49.2% of enterprise value, the terminal value is a smaller share of this valuation than in most discounted cash-flow models, and that is a consequence of the high explicit-window discount rate rather than a design choice. It means the answer depends more on the next five years and less on a perpetuity assumption than is usual — which, for a business whose next five years are genuinely forecastable from tonnes and prices, is the right place for the weight to sit.

1.8 Terminal value, and what growth costs

Terminal growth is held at 5%, against a terminal risk-free rate that already embeds disinflation — so approximately zero in real terms. It is not derived from recent performance, and the reason is arithmetic rather than a matter of judgement.

Attributable profit has compounded at about 116% a year since FY2022. Compounded against nominal economic growth of about 18%, a company at 0.069% of Egyptian output today would equal the entire Egyptian economy in roughly 12 years. That is not a forecast anyone would defend; it is the reason recent growth belongs in the explicit window, describing a specific dated event — the removal of the production quota — and not in the perpetuity.

Growth in the terminal state has to be paid for. The reinvestment rate is terminal growth divided by the return on capital that funds it: 5% over 10.3% gives 48.4% of terminal profit reinvested. That return is struck on REPLACEMENT-COST invested capital — EGP 32,695mn, being 5.0Mt at USD 130 a tonne — rather than on the pre-devaluation book, which would flatter it several times over and let growth through unpaid for.

The consequence is worth stating plainly because it inverts the usual intuition: at a terminal return on capital of 10.3% against a terminal rate of 16.5%, GROWTH DESTROYS VALUE. The model shows it rather than hiding it — the cash-flow lens is EGP 52.00 at 3% terminal growth and EGP 45.43 at 7%. A cement plant in a market carrying 76Mt of capacity against 54Mt of consumption cannot earn its cost of capital on new tonnes, and a model that rewarded it for adding them would be wrong.

Explicit-window rate	3%	4%	5%	6%	7%
21.46%	53.82	52.50	50.96	49.13	46.91
22.96%	52.90	51.62	50.11	48.32	46.16
24.46%	52.00	50.75	49.29	47.54	45.43
25.96%	51.14	49.92	48.49	46.79	44.73

27.46%	50.30	49.11	47.72	46.06	44.05

Table 9 — Fair value per share across the explicit-window cost of capital and terminal growth. Growth is the STRONGER of the two levers here and it points DOWN: across a row the value moves EGP 6.91, against EGP 3.52 down a column.

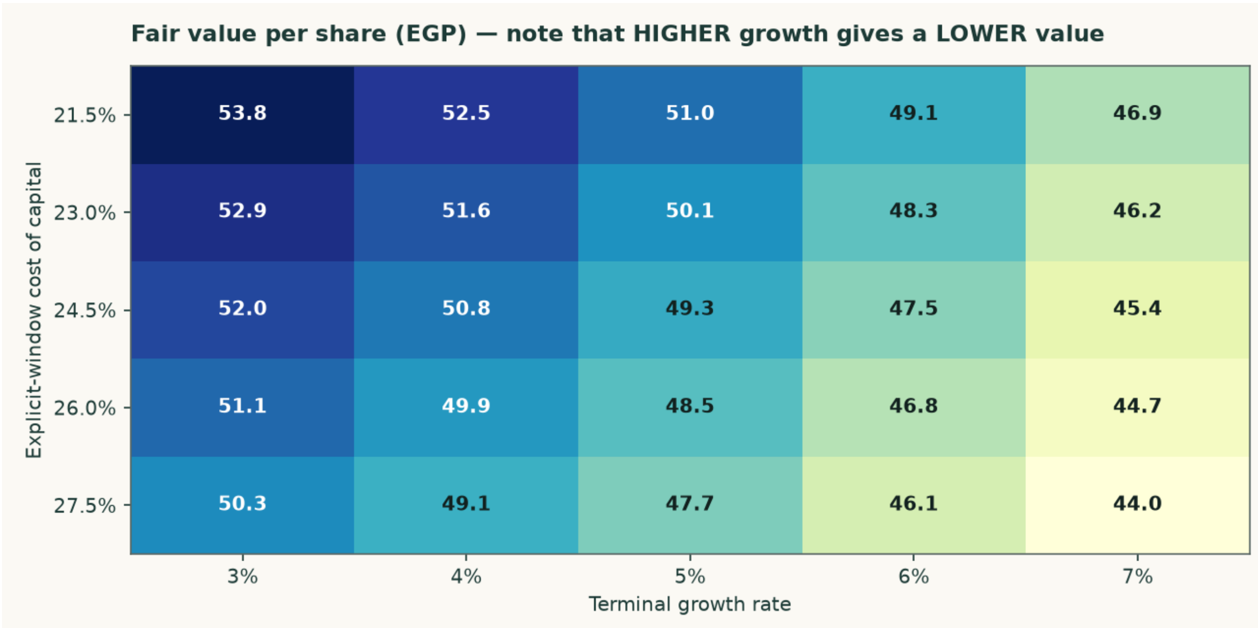

Figure 3 — The same surface. Higher growth gives a lower value, which is the model being consistent rather than a sign error.

Explicit-window rate	14.5%	15.5%	16.5%	17.5%	18.5%
21.46%	56.26	53.36	50.96	48.94	47.21
22.96%	55.27	52.45	50.11	48.14	46.45
24.46%	54.31	51.57	49.29	47.37	45.72
25.96%	53.39	50.71	48.49	46.62	45.01
27.46%	52.49	49.88	47.72	45.89	44.33

Table 10 — The two anchors varied INDEPENDENTLY: the explicit-window rate down the side, the terminal rate across the top. This shows what the valuation needs the economy to do, not merely what growth rate the model needs.

1.9 The other three lenses, and the choices that were contested

The relative lens applies 4.5 times to normalised EBITDA of EGP 3,604mn — the FY2025 revenue base cut 6% and a mid-cycle margin of 30.8% applied to it — and adds net cash at face. The multiple is disclosed as weakly anchored: the listed Egyptian peer set is thin, and its published multiples do not reconcile against the market capitalisations printed beside them. That is why this lens carries 20% and not more.

The normalised-earnings lens capitalises the same mid-cycle operating profit after tax — EGP 2,331mn — at 7.0 times, and again adds cash at FACE rather than capitalising it at the operating multiple. Cash is worth cash; capitalising a pound of treasury at seven times would value it at a discount to itself.

The asset lens values the capacity: 5.0Mt at a justified USD 95 per annual tonne, marked down 27% from a replacement cost of USD 130. Against that, the market is paying USD 73.1 per annual tonne. This lens carries only 8%, and the reason is in the same paragraph as the number: restarting a mothballed line costs a fraction of building one, and 12.6Mt of restart capacity is queuing. Replacement cost is a ceiling here, not a floor.

Choice	Adopted	Alternative	Effect on the cash-flow lens
Beta: contemporaneous regression (adopted) vs Dimson lead-lag sum-beta	0.628	0.919	44.58 (-9.5%)
Capital-structure weights: gross debt (adopted) vs net debt	4.47%	-12.31%	48.56 (-1.5%)
Minority interests: EGP 150mn deducted (adopted) vs none	150	0	49.69 (+0.8%)
Capex: economic maintenance in dollars per tonne (adopted) vs book depreciation	USD 4.00/t	book depreciation	54.28 (+10.1%)

Table 11 — Every contested choice computed as a value rather than argued in prose. None of these alternatives is hidden; each is a full re-run of the model.

2 Price structure

The price closed 59.00 above a rising 20-day (56.27), a rising 50-day (56.25) and a rising 200-day (51.73). Momentum is firm: RSI(14) is ~65 and the daily ATR near 1.28 (~2.2%) points to a normal tape. MACD (12·26·9) is positive and rising (+0.46 / +0.25 / +0.20). Over the last year it has ranged 35.01–60.40; the last close sits 2% below that high and 69% above that low.

	Level (EGP)	Distance from spot
Resistance 1	60.34	+2.3%
Resistance 2	62.00	+5.1%
Resistance 3	63.00	+6.8%
Support 1	54.25	-8.1%
Support 2	52.99	-10.2%
Support 3	48.10	-18.5%
52-week high	60.40	+2.4%
52-week low	35.01	-40.7%

Table 12 — Levels are computed from swing structure with a recency weight; moving averages, the 52-week extremes and round numbers are admitted as candidates but score below real swing points. Resistance 1 and support 1 always mean nearest to the close.

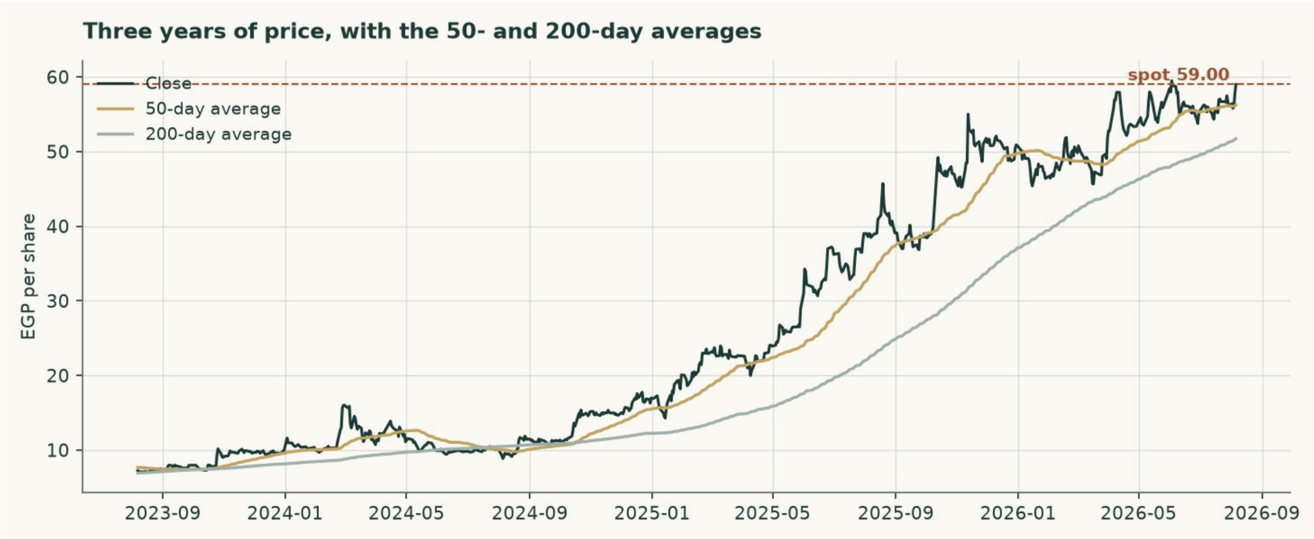

Figure 4 — Three years of price with the 50- and 200-day averages.

On the upside: A daily close back above 60.34 would clear the nearest resistance and open the 63.00 zone.

On the downside: A close below 54.25 would break the nearest support and open the 48.10 zone.

This section describes the tape and makes no claim about value. The two are compared in section 4.

3 A probabilistic price map

The following is NOT a valuation. It is a distribution of where the share price could sit at two horizons, drawn from the price history alone and from nothing in the preceding sections. It is included because a single fair-value number tells a reader nothing about dispersion, and it is labelled illustrative because its own calibration record says it should be.

	One month	Three months
5th percentile	50.44	43.92
25th percentile	55.93	53.71
Median	**59.45**	**60.46**
75th percentile	63.21	67.97
95th percentile	70.09	83.17
Probability of finishing above the current price	53.4%	55.6%
Probability of touching +10% at any point	27.8%	58.0%
Probability of touching −10% at any point	19.8%	45.5%

Table 13 — Percentiles in EGP per share, from a 50,000-path simulation anchored on the 6 August 2026 close of EGP 59.00. The drift is the carry — the risk-free rate less the dividend yield — and nothing else.

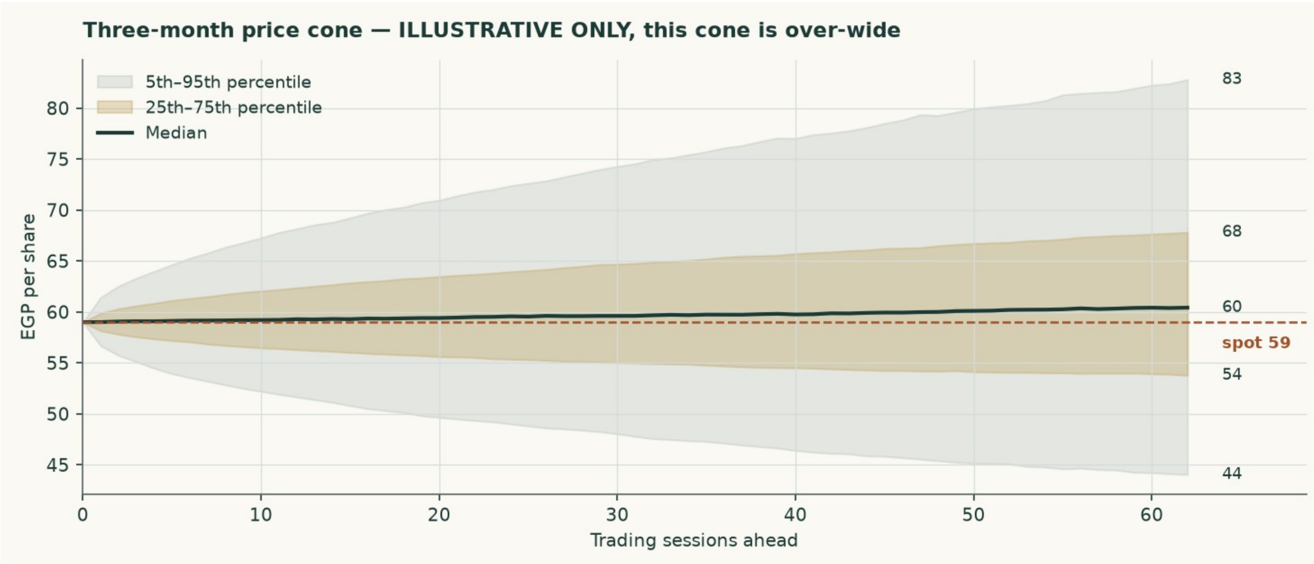

Figure 5 — The three-month cone.

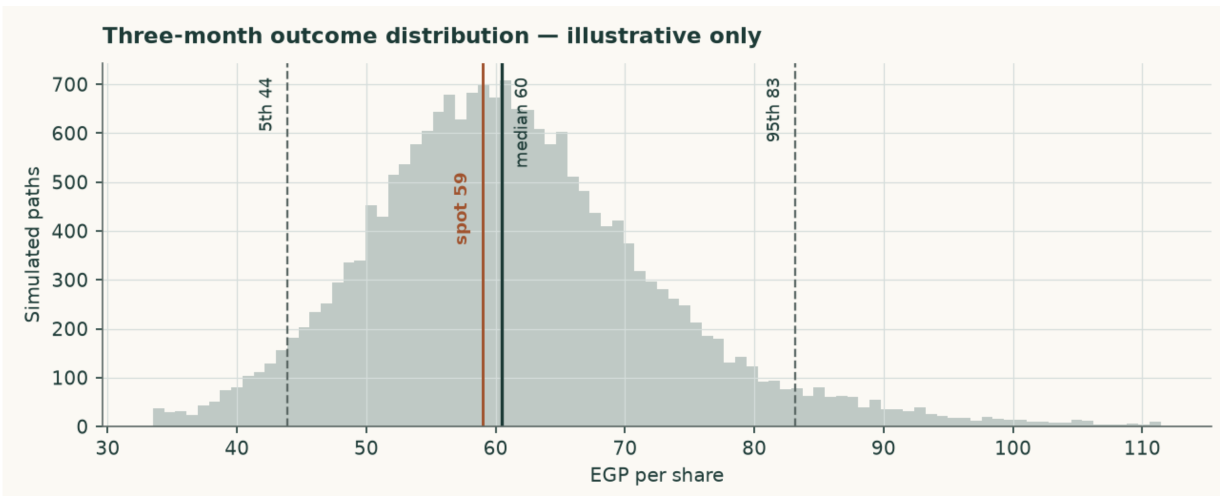

Figure 6 — The three-month outcome distribution.

How well calibrated is it? Measured over 16 independent quarterly windows, the bands cover 56%, 100% and 100% of outcomes against nominal 50%, 80% and 90%. The map is therefore TOO WIDE rather than mis-centred: it is not missing the outcome, it is covering more ground than it claims to. Its skill against a simple random walk is -1.8% — statistically indistinguishable from zero at every block size tested. No valuation conclusion in this study rests on it.

4 Comparison of the lenses

Lens	Bear (EGP)	Base (EGP)	Bull (EGP)	Weight	Versus spot
DCF (cash flow)	44.08	49.29	54.72	50%	-16.5%
Relative multiples	47.89	53.21	58.53	20%	-9.8%
Normalised earnings	48.12	53.47	58.81	22%	-9.4%
Asset / replacement cost	66.31	73.68	81.05	8%	+24.9%
Weighted central	**47.51**	**52.94**	**58.49**	**100%**	**-10.3%**

Table 14 — Each lens as a range. The disagreement between them is information, not noise.

The four lenses do not agree, and the pattern of their disagreement is the most useful thing in this study. The three earnings-based lenses cluster between EGP 49.29 and EGP 53.47, all below the market price. The asset lens sits at EGP 73.68, well above it. That is the whole argument about this company in one line: the plant is worth more than the market is paying for it, and the earnings it can be expected to produce are worth less.

The weighting resolves that in favour of earnings, at 50%/20%/22%/8%, and gives a central EGP 52.94 against EGP 59.00 — -10.3%. A reader who believes replacement cost is a floor rather than a ceiling would weight the asset lens far more and reach the opposite conclusion. The case against doing so is the 12.6Mt restart programme, and it is a testable one.

Against the technical picture, the two readings are in tension. The share is above its entire moving-average stack on a rising 200-day and 98% of the way to a 52-week high, while the earnings lenses put fair value below the current price. Momentum and value disagree here, and this study takes no view on which resolves first.

5 Catalysts to watch

- **The restart programme.** Seven to nine dormant Egyptian lines are under study for revival, potentially adding 12.6Mt from the second half of 2026 — about 23% of domestic consumption. Whether those lines actually restart, and how fast, is the single largest swing factor in the price path this model assumes.
- **The realised price, quarter by quarter.** The model assumes a domestic price of EGP 3,600 a tonne in FY2026 and growth below cost inflation thereafter. Two consecutive quarters of realised prices above EGP 4,200 would break that assumption upward; a return toward EGP 3,000 would break it down.
- **The alternative-fuel programme.** The substitution rate is assumed to rise from 52% to 64%. Progress on it is reported in the company's own sustainability disclosure and is directly visible in the fuel cost per tonne. A stall would cost roughly the difference between the blended and fossil-only fuel bills.
- **Energy tariffs.** Phased subsidy reform continues to raise the domestic industrial energy bill independently of the global fuel price. The model inflates the pound cost lines by 11.5% in FY2026, easing to 7.0% by FY2030; a faster reform schedule would compress the margin faster than assumed.
- **The export cap and the carbon border mechanism.** Exports are capped at 30% of production, and the EU carbon border mechanism raises the landed cost of Egyptian cement in Europe. A low-clinker, high-alternative-fuel producer suffers less from the second than a conventional peer, and the export price path assumes exactly that.
- **Distribution policy.** The company paid EGP 2,000mn for FY2025, about 56% of attributable profit, on top of EGP 1,100mn for FY2024. A change in that policy changes the cash roll-forward and, through it, the balance sheet the bridge relies on.

6 Reading the probability zones

The distribution in section 3 is easier to use as zones than as percentiles. The following divides the three-month outcome space into four bands and states what each would mean, without predicting which occurs.

Zone	Three-month range (EGP)	Probability	What it would mean
Lower tail	below 43.92	5%	A break of the 48.10 support zone, most plausibly on a faster-than-assumed capacity restart
Below spot	43.92 – 59.00	39%	The market converging toward the earnings-based lenses in this study

Above spot	59.00 – 83.17	51%	Momentum and the 2026 pricing environment continuing to lead the earnings case
Upper tail	above 83.17	5%	A re-rating toward the asset lens, which would require the restart programme to be abandoned or delayed materially

Table 15 — Zones, not forecasts. The four are exclusive and sum to 100%: each tail is carved OUT of the band beside it rather than counted twice. The probabilities come from the price map and are subject to the same over-width caution as everything else in section 3.

7 Caveats and what would change our mind

- **The audited statements were not obtainable.** Revenue, attributable profit, operating income, the balance-sheet totals and both dividend distributions are carried as disclosed via reporting of the exchange filings and via aggregations of commercial financial data. Every line between them is derived and labelled as derived. A reader with the audited accounts should reconcile the depreciation and working-capital lines first, since those are the weakest.
- **The balance sheet does not close across sources.** Total assets of EGP 8,784mn less reported equity of EGP 4,643mn implies liabilities of EGP 4,141mn; a separate aggregation prints EGP 2,894mn, a gap of EGP 1,247mn or 14.2% of total assets. The figure that closes against total assets is carried and the disagreement is shown rather than averaged away.
- **Depreciation is a triangulation, not a disclosure.** The three methods span EGP 160mn to EGP 558mn. The average is adopted. Anyone with the real number should substitute it — but note that raising it in the terminal year LOWERS this valuation rather than raising it, because capital spending here is set at economic replacement and does not follow the book charge.
- **Cash and debt are not clean one-way levers.** Because the effective tax rate is inferred from the disclosed FY2025 closure, changing the cash balance changes the imputed finance income and therefore the imputed tax rate on the operating business. Adding EGP 1bn of cash adds to net cash and subtracts almost exactly as much from enterprise value. The clean net-cash sensitivity — the tax rate held and the balance varied — is shown below.
- **The beta is weak.** R-squared of 9.1% and a 90% interval of [0.42, 0.83]. The valuation is shown across a beta range for exactly this reason, and the lead-lag correction is published as a value.
- **The price map is over-wide.** Its bands cover 100% and 100% of outcomes against nominal 80% and 90%, and its skill against a random walk is -1.8%. It is carried as illustrative only.
- **A minority position.** The float sits under a long-standing controlling shareholder. No control premium or discount is applied anywhere in this valuation, in either direction.
- **Currency.** Revenue and most costs are in Egyptian pounds, but fuel, spares and any future capacity are priced in hard currency. The model carries one currency path and lets it act on both the import cost and the export revenue, because the two legs partly offset.

Net cash at the valuation date (EGP mn)	2,379	3,129	3,879	4,629	5,379
Fair value per share (EGP)	45.29	47.29	49.29	51.29	53.29

Table 16 — The clean net-cash sensitivity, with the tax rate held.

Shift in the EBITDA margin, every forecast year	-4%	-2%	+0%	+2%	+4%
Fair value per share (EGP)	40.27	44.78	49.29	53.80	58.31

Table 17 — And the margin sensitivity, which is the largest single swing factor in the model.

Appendix A Financial statements

Income statement

EGP mn	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	6,040	8,729	12,447	13,564	14,585	15,481	16,322	17,066
EBITDA	1,264	1,930	4,897	5,018	5,155	5,186	5,202	5,174
EBITDA margin	20.9%	22.1%	39.3%	37.0%	35.3%	33.5%	31.9%	30.3%
Depreciation and amortisation	276	286	301	339	408	480	555	614
EBIT	988	1,644	4,596	4,679	4,747	4,706	4,647	4,560
Net finance income	—	—	504	417	481	561	643	742
Profit before tax	—	—	5,100	5,097	5,228	5,267	5,290	5,301
Attributable profit	**697**	**1,160**	**3,599**	**3,597**	**3,689**	**3,717**	**3,733**	**3,741**
Earnings per share (EGP)	1.86	3.09	9.60	9.60	9.84	9.92	9.96	9.98
Despatched volume (Mt)	3.300	3.420	3.600	3.840	3.950	4.025	4.075	4.110
Realised price (EGP/t)	1,830	2,552	3,458	3,532	3,692	3,846	4,005	4,152

Table A1 — Three years historical and five forecast. Revenue and attributable profit for FY2023-FY2025 and FY2025 operating income are as disclosed; every other historical line is derived by closing the disclosed profit. Earnings per share here is attributable profit over the current share count and so reads EGP 9.60 for FY2025; the company's own published figure is EGP 9.49, the difference of about 1.2% being the statutory employees' and directors' share of profit.

Balance sheet

EGP mn	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net property, plant and equipment	3,089	3,762	4,416	5,052	5,669	6,285
Working capital	2,235	2,369	2,492	2,599	2,700	2,789
Cash and equivalents	3,459	4,235	5,082	5,974	6,899	7,840
Total assets	**8,784**	**10,366**	**11,990**	**13,625**	**15,268**	**16,914**
Total debt	1,035	1,035	1,035	1,035	1,035	1,035
Total equity	4,643	6,225	7,849	9,484	11,127	12,773
Net (cash) / debt	-2,424	-3,200	-4,047	-4,939	-5,864	-6,805
Book value per share (EGP)	12.38	16.61	20.94	25.30	29.68	34.07

Table A2 — FY2023 and FY2024 balance sheets are not retrievable at the evidentiary standard used elsewhere and are left blank rather than reconstructed.

Cash flow

EGP mn	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Attributable profit	3,597	3,689	3,717	3,733	3,741
Add back depreciation	339	408	480	555	614
Less change in working capital	-134	-123	-108	-101	-89
Capital expenditure	-1,012	-1,062	-1,116	-1,172	-1,230
Dividends paid	-2,014	-2,066	-2,081	-2,091	-2,095
Closing cash	**4,235**	**5,082**	**5,974**	**6,899**	**7,840**
Memo: free cash flow to the firm	1,041	2,574	2,577	2,562	2,513

Table A3 — Free cash flow to the FIRM excludes treasury income, which is handled in the equity bridge; free cash flow to equity includes it through profit.

Appendix B Peer set, sector structure and risks

	Revenue (EGP mn)	Profit (EGP mn)	Market cap (EGP mn)	Price / earnings	Net margin
Arabian Cement (ARCC)	12,447	3,599	22,117	6.15x	28.9%
Sinai Cement (SCEM)	9,090	2,290	20,604	9.00x	25.2%
Misr Beni Suef Cement (MBSC)	5,700	3,946	13,730	3.48x	69.2%

Table B1 — Every multiple here is RECOMPUTED from revenue, profit and market capitalisation rather than quoted, because the published multiples for this peer set do not reconcile against the market capitalisations printed beside them.

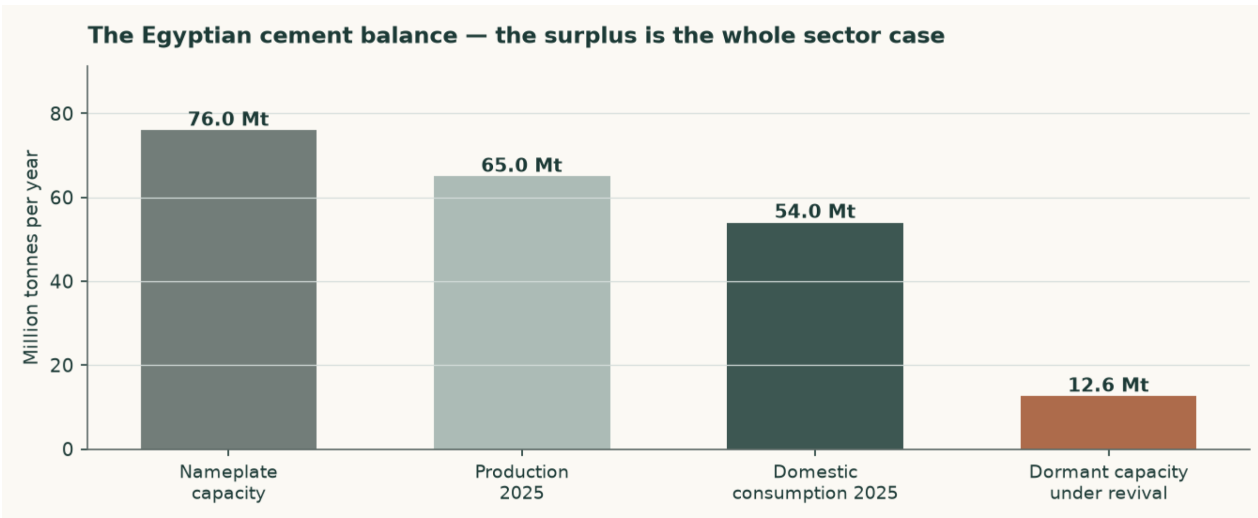

Figure B1 — The Egyptian cement balance. The surplus is the whole sector case.

Egypt carries about 76Mt of nameplate capacity against roughly 54Mt of domestic consumption and 65Mt of production — a utilisation rate near 86%. Exports of about 18.5Mt absorb part of the difference. The abolition of the production quota in May 2025 removed the mechanism that had been supporting price into that surplus, and the 12.6Mt restart programme would add to it.

- **Price risk.** A structurally over-supplied market whose main price-support mechanism has just been removed. This is the dominant risk and it is why the forecast price path grows below cost inflation.
- **Energy and currency.** Fuel is dollar-priced and electricity tariffs are on a reform path. Both raise cost independently of what happens to price.
- **Concentration.** One site, one product, one country. There is no diversification anywhere in this business to absorb a shock to Egyptian construction demand.
- **Carbon.** The EU carbon border mechanism raises the landed cost of exports into Europe. This producer is better placed than most Egyptian peers, but better placed is not unaffected.
- **Disclosure.** The depth of published financial detail is thin by the standards of the other markets covered, which is why so much of this study is a triangulation shown rather than a figure asserted.

Appendix C The expert valuation panel

Three independent valuations of the same company, each built by a different method and each stated with the specific evidence that would prove it wrong. They are not averaged: the disagreement between them is the point.

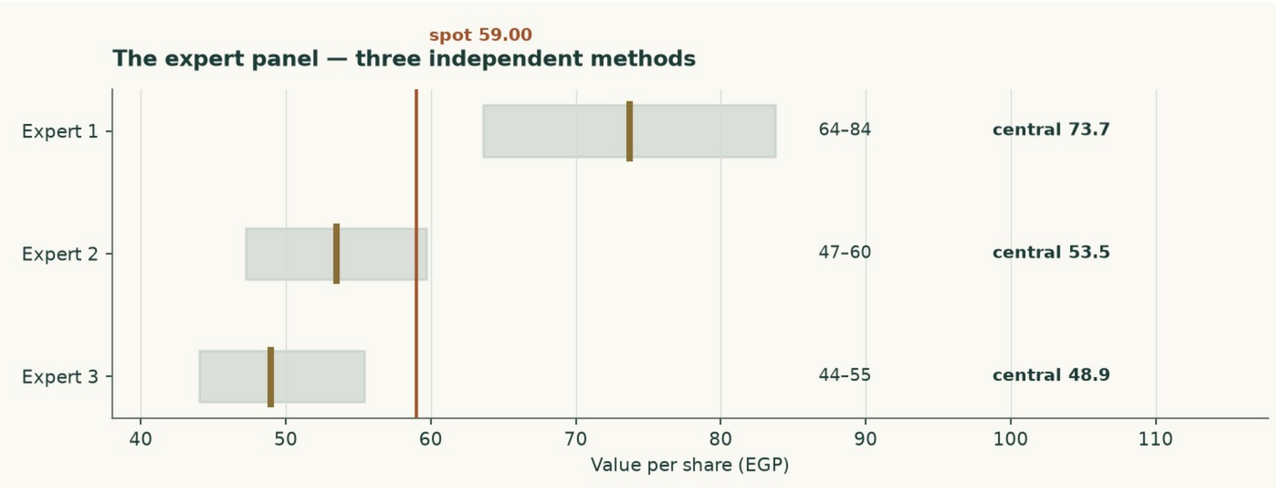

Figure C1 — The three panel valuations against the market price.

Expert 1 — Replacement-cost industrialist

Valuation: EGP 63.62 to EGP 83.75, central EGP 73.68 (+24.9% against the market price of EGP 59.00).

Values the plant, not the earnings stream. Five million tonnes of grey cement capacity costs about USD 130 per annual tonne to build. Nobody pays replacement cost for capacity in a market carrying 76Mt of it against 54Mt of consumption, so the justified figure is marked down to USD 95. Against that, the market is paying USD 73 per annual tonne — the plant is on sale relative to the cost of putting one there, which is the whole of this case.

What would prove this wrong: Find an Egyptian line built, bought or restarted below USD 95 per annual tonne. The 12.6Mt revival programme is the live test and it runs against this lens: restarting a mothballed kiln costs a fraction of building one, which is exactly why this valuation is a ceiling and not a floor, and why it carries only 8% of the weight.

Expert 2 — Mid-cycle earnings-power analyst

Valuation: EGP 47.25 to EGP 59.68, central EGP 53.47 (-9.4% against the market price of EGP 59.00).

Refuses to capitalise a peak, and refuses it on BOTH legs. FY2025 was the best year the Egyptian cement industry has had in over a decade: the margin is normalised to 30.8% against the 39.3% actually earned, and the revenue base is cut 6% because that revenue embeds the post-quota price spike. What is left is capitalised at 7 times, with the cash added back at face rather than capitalised at the same multiple as the operating business — cash is worth cash.

What would prove this wrong: Two consecutive years of realised prices above EGP 4,200 per tonne WITH the 12.6Mt revival actually proceeding would prove the mid-cycle base too low. Equally, a single year in which the alternative-fuel programme stalls and the fuel bill reverts to a fossil-only stack would prove it too high.

Expert 3 — Cash-return and distribution investor

Valuation: EGP 44.05 to EGP 55.41, central EGP 48.92 (-17.1% against the market price of EGP 59.00).

Ignores the terminal value entirely and asks what the cash stream is worth to someone who has to be paid in cash. Average free cash flow to the firm across FY2027-FY2030 is EGP 2557mn; required at a 17.5% cash return — the level a pound-denominated investor can obtain from government paper once disinflation is priced — that is a business worth EGP 14609mn before the net cash of EGP 3879mn is added back. The company already distributes 56% of profit, so this is not a hypothetical claim on retained value.

What would prove this wrong: A required cash return above 20% — which is what a failure of the disinflation path would produce — takes this valuation to EGP 44.05 and below the market price. So would any year in which maintenance capital spending has to rise materially above the USD 4.00 per tonne of capacity assumed here, which is the number to watch in the cash flow statement rather than in the earnings release.

	Low (EGP)	Central (EGP)	High (EGP)	Versus spot
Expert 1 — Replacement-cost industrialist	63.62	73.68	83.75	+24.9%
Expert 2 — Mid-cycle earnings-power analyst	47.25	53.47	59.68	-9.4%
Expert 3 — Cash-return and distribution investor	44.05	48.92	55.41	-17.1%
Panel median	**—**	**53.47**	**—**	**-9.4%**

Table C1 — The panel. The median sits close to the weighted central of the four principal lenses, which is a coincidence of construction rather than a confirmation — both are looking at the same company through overlapping methods.